

by that time have reached a point in their own development where their stocks will no longer be carrying anything like the former degree of risk but may even have progressed to a status where institutions have begun buying them.

The problems of the small investor are somewhat more difficult. The large investor can often completely ignore the matter of dividend returns in his endeavor to employ all his funds in situations affording maximum growth potential. After his funds are so invested he may still obtain from them sufficient dividends either to take care of his desired standard of living or to enable him to attain this standard if the dividend income is added to his other regular earning power. Most small investors cannot live on the return on their investment no matter how high a yield is obtained, since the total value of their holdings is not great enough. Therefore for the small investor the matter of current dividend return usually comes down to a choice between a few hundred dollars a year starting right now, or the chance of obtaining an income many times this few hundred dollars a year at a later date.

Before reaching a decision on this crucial point, there is one matter which the small investor should face squarely. This is that the only funds he should consider using for common stock investment are funds that are truly surplus. This does not mean using all funds that remain over and above what he needs for everyday living expense. Except in the most unusual circumstances, he should have a backlog of several thousand dollars, sufficient to take care of illnesses or other unexpected contingencies, before attempting to buy anything with as much intrinsic risk as a common stock. Similarly, funds already set aside for some specific future purpose, such as sending a child through college, should never be risked in the stock market. It is only after taking care of matters of this sort that he should consider common stock investment.

The objective which the small investor then has for this surplus becomes somewhat a matter of personal choice and of his particular circumstances, including the size and nature of his other income. A young man or woman, or an older investor with children or other heirs of whom he or she is particularly fond, may be willing to sacrifice a dividend income of, say, \$30 or \$40 a month in order to obtain an income ten times that size in fifteen years. In contrast, an elderly person with no close heirs would naturally